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in their units in India and re-export them to the International Diamond Market in Amsterdam.

Singapore, Dubai, Hongkong are the largest entrepot trade centres in the world

Thus it can be concluded that effective transfer of possession and ownership from the producer to consumer is facilitated by trade. After learning about the types of trade, channels of distribution, wholesalers and retailers will be studied.

Key Terms

Foreign trade Export trade
Import trade Entrepot trade

For Own Thinking

1. Student should go to nearby internal trade unit, and observe the trade activities.
2. Students should go to retail shop, and observe the trading activities.

For Future Learning

1. In future the location of trade houses will be completely changed, where the customers place order by mobile phone or e-mail and it should be delivered at door step of the buyer.
2. In future there is no need for showrooms, displays, window decorations, etc. retail shops provide code numbers to the products and hence there is no need for retail shop. So, the students should be prepared to meet future changes.

Case Study

Mr. Kovalan completed his M.Com., degree and proposed to start a business dealing powerloom machines. After a complete analysis, it was found that it is better to buy from foreign countries than to buy from domestic manufacturers. So what is your opinion whether to purchase from foreign countries or from domestic manufacturers.

Exercise

I. Choose the Correct Answer

1. The purchase of goods from a foreign country is called----------
   a. Import
   b. Export
   c. Entrepot
   d. Re-export

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2. When goods are imported for the purpose of export it is called as----------.
   a. Foreign Trade
   b. Home Trade
   c. Entrepot
   d. Trade

3. ---------- acts as a connective link between the producer and the consumer.
   a. Trade
   b. Industry
   c. Commerce
   d. Business